

MLCC Industry

Growing likelihood of tight supply/demand; Murata Manufacturing and Taiyo Yuden up to Overweight

- MLCC industry model update: rising AI server and ongoing auto mix growth to drive value expansion higher:** Despite consumer electronics demand headwinds (we cut our demand estimates from +6% YoY to +2% YoY), we see greater AI server demand pickup and ongoing electrification supporting auto MLCC expansion amidst inventory normalization. We forecast the MLCC industry units to surpass 4.6 trillion units this year (+6% CAGR to 6.1 trillion units by 2030E), with overall market TAM reaching US \$25 billion by 2030E (+11% CAGR in the next five years). Large-size MLCC demand mix is rising at a quicker pace vs. overall market growth, and we see a greater mix shift in the next 3-5 years vs. previous years thanks to robust AI demand pickup. We expect this to support a tighter MLCC industry UTR (we expect the supply mix of autos/AI servers/robotics will rise from high-30% in 2025 to high-60% by 2030E) and believe tier-1 suppliers are well positioned to capitalize on this business opportunity.
- New growth drivers: AI servers and robotics:** We estimate MLCC content per GPU will rise from 4k to 12k (3x in the next five years) with higher computation and power requirements. As a result, we expect the AI server mix within the total MLCC market to grow 4x in the next five years to 4% by 2030E (from 1.1% in 2025). We note that growing GP server demand and CPUs attached to GPU servers will be a demand tailwind to MLCC demand. On the robotics side, we currently assume a lower MLCC content per box (10k) vs. standard electric vehicles (14k). However, with physical AI advancements and likely higher semi content inside the humanoid, we believe growth potential remains extremely high. We currently model in 100+ billion robotics-related MLCC unit potential by 2030E. We note that AI servers and robotics carry a 2-3x or even greater ASP premium due to higher product quality standards and production complexity.
- Investment recommendations:** MLCC suppliers have collectively delivered a 18% 2026 YTD return (vs. MXAP +4%) and the top four major MLCC suppliers currently trade at 2.1x FTM P/B on average (Bloomberg consensus estimates, as of Apr 2), above their five-year historical average of 1.55x, on stronger pricing growth momentum. We remain guarded on meaningful apples-to-apples price hike potential to reflect consumer electronics MLCC demand erosion. However, given tightening capacity due to product mix shift changes and strategic MLCC procurement activities from selective customers, we view the pricing environment as much more favorable than in the past. With an ongoing product mix shift, we believe the MLCC industry could continue to deliver blended ASP growth and profitability improvement in the coming years, and expect this to support industry shares. We now have Overweight ratings on all major MLCC makers in Asia (Murata, Taiyo Yuden, TDK, and SEMCO). We prefer Japanese MLCC makers over Korean MLCC makers on undemanding valuations, and Murata Mfg./Taiyo Yuden are our top preferred picks in the Japan component space.

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Japanese MLCC

- Demand for AI server-use MLCCs has risen since mid-2024, but we thus far thought price stabilization caused by tight supply/demand conditions was essential before shifting to a bullish stance toward MLCC makers. Since mid-2025, the MLCC industry's capacity utilization has risen to 87–88%, close to the threshold for tight supply/demand of 90%, but we see a growing possibility that overall MLCC market supply/demand will become tight and MLCC price declines will slow and prices stabilize due to growth in AI server-use MLCC demand from mid-2026, so we have raised our ratings on Murata Manufacturing and Taiyo Yuden from Neutral to Overweight.
- We raised our earnings forecasts for Murata and Taiyo Yuden assuming that supply/demand becomes tight in 1H FY2026, MLCC price declines slow from 2H FY2026, and prices stabilize in FY2027. We applied the MLCC cycle peak multiples seen in 2017–18 and 2020–21 and raised our price targets and ratings on both Murata and Taiyo Yuden from Neutral to Overweight. TDK's share price is currently weak due mainly to low demand for Chinese smartphone- and notebook PC-use rechargeable batteries, and the risk that management sets cautious FY2026 guidance, but we expect this to be offset mainly via higher HDD-related and sensor product earnings and better profitability in passive components and have raised our price target, maintaining our Overweight rating.
- **Capacity utilization and prices:** In the 2017–18 and 2020–21 cycles, supply/demand conditions started to become tight when MLCC industry capacity utilization rose above 90%, and price declines then slowed after one to two quarters, ultimately leading to price stabilization. Capacity utilization rose to 87–88% in 2H 2025 and January–March 2026, and we anticipate it will reach 90% in mid-2026 with supply/demand becoming increasingly tight, so we expect MLCC makers' earnings growth momentum to strengthen further in 2H 2026. In particular, we forecast MLCC demand for GB300 applications to grow in earnest (MLCC capacity is up about 50–60% versus GB200) in April–June, while demand for MLCCs employing the side gap construction method such as the 1005-size/47μF/2.5V models used in high-end smartphones and AI servers increases markedly, and we get the impression greater allocation of production facilities to these and other high-end MLCCs is starting to trigger tight supply/demand. In response to these developments, we believe makers of Chinese smartphones, Chinese AI servers and autos have since Lunar New Year started to maneuver to secure their MLCC requirements.

Demand for AI server-use MLCCs

Demand for AI server-use MLCCs totaled slightly over ¥100 billion (about \$700 million) in 2025 and made up around 5% of overall MLCC demand, but we expect demand to consistently grow at an annual rate of around 50–60% in 2026–27. In particular, we expect internal MLCC capacity to rise 50–60% versus Nvidia's GB200 for its GB300 platform, and to rise another 50–60% under the transition from G300 to Vera Rubin.

Demand for large-capacity MLCCs using side gap construction methods is growing particularly strongly for AI server applications. In order to maximize electrode area when using a side gap construction method, it is necessary to first cut the electrode portion and crimp the barium titanate side sheet from multiple sides, and production capacity and production space allocation for such products is increasing because even cleaner than normal clean rooms are required.

The average capacity of AI server-use MLCCs is high also for other MLCC types, so much capacity is used for processes like layering, printing and firing. AI server-use MLCCs only had a 2025 market weighting of 5% in value terms, but they appear to have consumed about 1.5–2x this level in production capacity terms.

MLCC makers are starting to respond via moves like turning down orders from distributors for mid- and low-end products. The big three MLCC makers have been producing at close to full capacity so far, but we get the impression orders that the big three cannot take have started to flow to other companies, and that capacity utilization at MLCC plants for mid- and low-end applications has started to rise in earnest from low levels even at the big three.

In prices, major MLCC makers cut the prices they charged high-end smartphone makers when supply/demand was tight in 2017–18 and 2020–21, but based on our research we see an increasing likelihood that major MLCC makers will not cut prices in 2026 due mainly to impact from tight supply/demand for side gap MLCCs. If they do not cut prices for customers with the strongest bargaining power, we think they can easily resist price cut requests from other customers.

Stock preferences for Japanese MLCC names

We prefer Murata Manufacturing and Taiyo Yuden over TDK in the short term as we expect them to maximize the benefits from tight MLCC supply/demand. However, we prefer TDK over the medium to long term as we forecast earnings growth driven by rechargeable batteries and HDD-related products, and we expect management to continuously monitor and enhance the business portfolio.

Our current appraisal of Murata and Taiyo Yuden is based on their cyclical position where supply/demand is tight due to growing demand for AI server-use MLCCs, but if price stabilization continues due to the demand cycle for AI server-use MLCCs lengthening (if price stabilization continues through FY2028, we think operating profit could rise to ¥800 billion at Murata and ¥100 billion at Taiyo Yuden), or if business practices with customers evolve (pricing strategy changes), we think expectations for price hikes will strengthen further.

Looking at business practices in particular, the basic stance toward electronic components (especially MLCCs) is that prices drop (MLCC prices fall just over 5%

annually, denting operating profit by ¥90 billion at Murata and just over ¥20 billion at Taiyo Yuden), so earnings growth accelerates when prices are stable during phases of tight supply/demand.

Japan's components industry strongly tends to prioritize consolidating long-term relationships with customers, and the trust this builds up among customers should not be overlooked. However, considering recent market conditions where makers are aggressively implementing price hikes for other parts and devices due to global inflation and tight supply/demand, we think Japanese makers are approaching a phase when they will need to review pricing strategy.

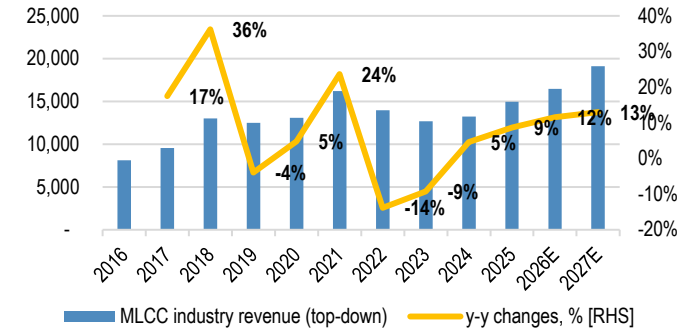
Conversely, given the environment of aggressive price hikes for other parts and devices, we are concerned that if Japan's MLCC makers do not follow suit, their perceived appeal within the stock market will weaken. We think it is difficult based on business practices so far for MLCC makers to immediately implement price hikes in response to tight supply/demand (we have not yet confirmed any price hike moves for MLCCs), but they are absorbing price declines mainly via continued cost cutting, mix improvement, and higher volume, and if price stabilization becomes the rule we would expect strong profit growth over the medium to long term, while we think this alone would justify selection as stocks for medium- to long-term investment. If the MLCC makers hike prices, we see risk that pressure to cut prices after the cycle peaks out will increase, but given the current market environment we think it should be possible to maintain prices (of course, we think strategic price cuts for some products are the right course in response to factors like competitive risk from local companies in China). Our expectations are high in particular for Murata, which is a leader of Japan's components industry. Many component makers say they focus on Murata's pricing strategy. Conversely, we identify a dilemma where rival makers cannot revise pricing strategy if Murata is unable to do so first.

For analog/discrete semiconductors, our analysis points to price hikes of around 20–30% in 2021–23, but prices have not fallen much after the cycle peaked out. Supply/demand is currently starting to tighten for the likes of low-voltage MOSFETs, mainly for AI server applications, and price hikes are starting once more. Based on our contact with analog/discrete semiconductor makers, some think they do not face psychological barriers against hiking prices this time because they raised prices in 2021–23. We believe Japanese components makers are at a turning point for reviewing pricing strategy in various senses.

MLCC Industry Model (Top-Down)

Figure 1: MLCC industry revenue and YoY

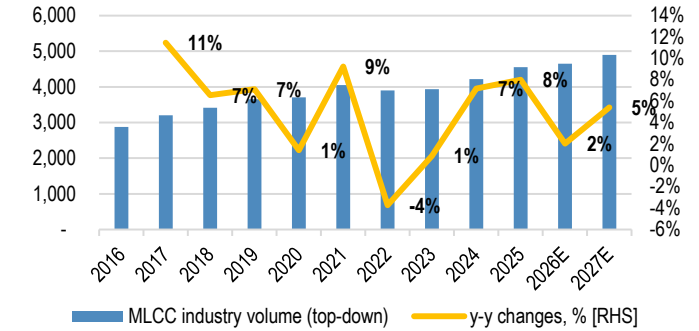
US\$mn, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 2: MLCC industry volume and YoY

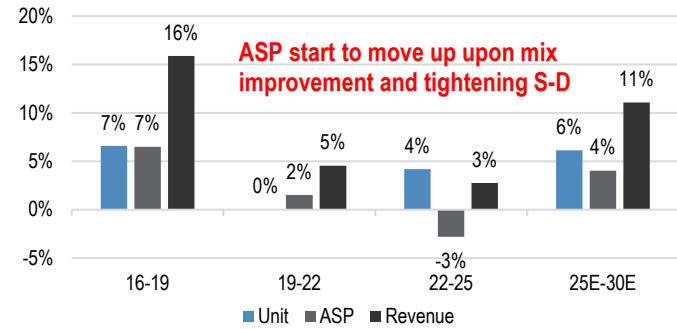
US\$mn, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 3: MLCC industry revenue, volume, ASP CAGR comparison

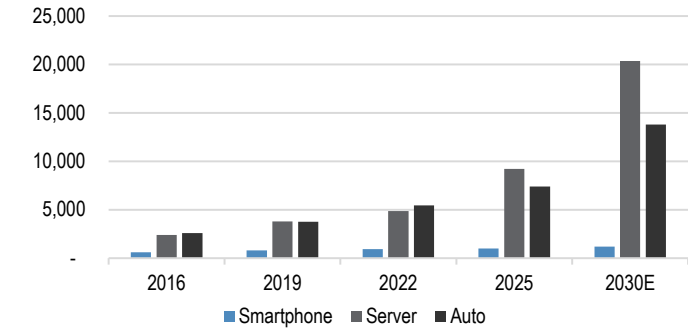
%



Source: J.P. Morgan estimates, Company data.

Figure 4: MLCC content comparison by application

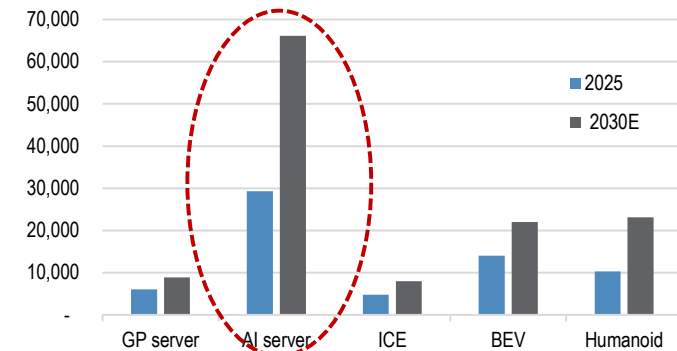
Units



Source: J.P. Morgan estimates, Company data.

Figure 5: MLCC content comparison by application for 2030E

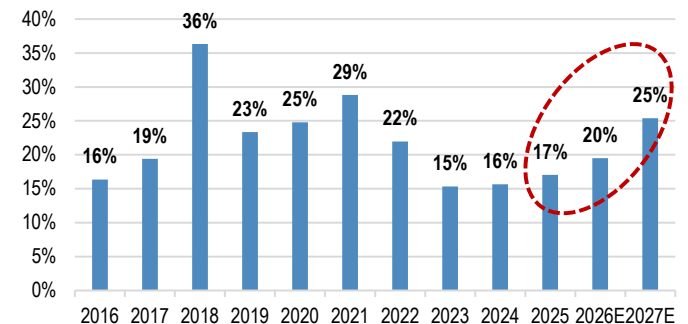
units



Source: J.P. Morgan estimates, Company data.

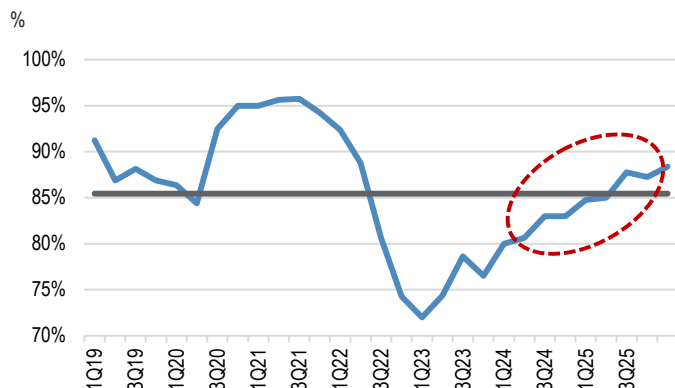
Figure 6: MLCC industry bottom-up OPM trend

%



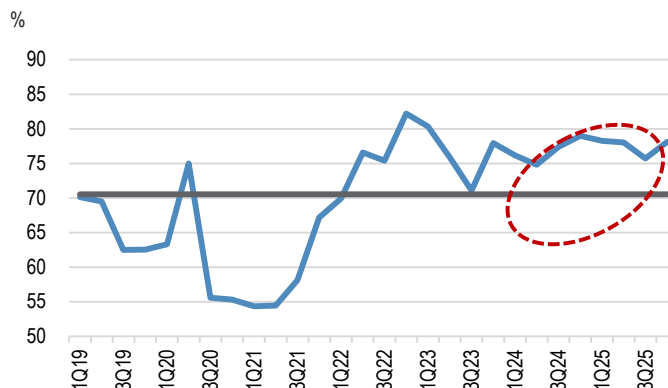
Source: J.P. Morgan estimates, Company data.

Figure 7: MLCC players' UTR trend



Source: J.P. Morgan estimates, Company data.

Figure 8: MLCC players' inventory days outstanding



Source: J.P. Morgan estimates, Company data.

Table 1: MLCC industry demand forecasts

Units in billions

Unit in billions	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
MLCC demand	2,875	3,205	3,415	3,558	3,710	4,053	3,902	3,937	4,220	4,558	4,650	4,301	5,226	5,682	6,138
y/y changes, %		11%	7%	7%	1%	9%	-4%	1%	7%	8%	2%	5%	7%	8%	8%
Mobile	1,132	1,288	1,329	1,390	1,341	1,483	1,406	1,374	1,465	1,568	1,492	1,490	1,519	1,573	1,618
Smartphone	897	1,060	1,105	1,136	1,058	1,178	1,111	1,094	1,167	1,254	1,186	1,183	1,201	1,242	1,278
Low-end	252	288	316	317	297	281	246	281	333	334	282	275	281	292	300
Mid-end	305	396	393	436	372	441	410	357	358	394	386	387	391	403	415
High-end	339	376	397	382	389	457	455	456	475	526	518	522	529	547	561
Tablets	127	125	109	117	141	140	124	114	126	129	122	122	126	130	135
Featurephone	94	81	80	74	65	67	64	57	54	57	54	55	57	60	61
Others	15	24	34	64	77	98	107	109	119	128	130	130	135	142	146
PC/Server	296	336	376	401	442	520	484	430	470	557	575	643	729	811	897
Desktop	130	143	155	165	140	158	148	126	128	148	136	140	154	163	172
NBPC	130	144	160	170	215	265	245	220	236	273	252	261	290	301	312
Chromebook	7	11	14	16	33	38	22	20	22	23	21	23	26	28	31
Server	27	35	45	48	52	57	67	62	83	113	165	219	258	318	381
GP server	27	35	45	48	52	57	65	54	60	64	80	94	110	121	133
AI server	-	-	-	-	-	-	2	8	23	49	86	125	149	197	247
Others	3	3	2	2	1	1	1	1	1	1	1	1	1	1	1
Consumer	811	848	900	955	985	993	991	1,000	1,043	1,077	1,099	1,122	1,153	1,184	1,230
TV	444	452	476	490	503	491	478	484	502	511	517	533	543	554	564
Appliance	344	375	401	443	461	480	491	495	519	543	558	564	584	605	640
Others	22	21	23	22	22	22	21	22	22	23	24	25	25	26	27
Automotive	237	273	311	333	322	377	421	513	582	656	734	841	962	1,118	1,277
ICE	223	252	278	287	254	257	246	269	259	247	239	245	249	270	286
HEV	9	11	14	24	34	49	63	87	111	136	163	188	234	281	320
PHEV	2	3	5	5	9	18	27	41	69	85	103	121	137	158	187
EV	4	7	13	16	24	53	85	116	142	188	229	287	342	410	484
Industrial/Others	400	460	500	580	620	680	600	620	660	700	751	805	864	975	1,114
Auto as % of total MLCC	8.2%	8.5%	9.1%	9.1%	8.7%	9.3%	10.8%	13.0%	14.4%	15.6%	15.8%	17.2%	18.4%	19.7%	20.8%
AI server as % of total MLCC	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.2%	0.5%	1.7%	1.8%	2.5%	2.8%	3.5%	4.0%
Humanoid as % of total MLCC	-	-	-	-	-	-	-	-	0.0%	0.0%	0.0%	0.1%	0.3%	0.9%	2.3%
Auto + AI Server + Humanoid	8.2%	8.5%	9.1%	9.1%	8.7%	9.3%	10.8%	13.2%	14.3%	16.5%	17.6%	19.8%	21.5%	24.1%	27.1%
Supply mix of three segment	20.6%	21.3%	22.7%	22.7%	21.7%	23.3%	27.1%	33.1%	35.8%	38.7%	44.1%	49.5%	53.8%	60.3%	67.8%
y/y mix changes, %		0.7%	1.5%	0.0%	-1.1%	1.6%	3.8%	5.9%	2.7%	2.9%	5.4%	5.4%	4.3%	6.5%	7.5%

Source: J.P. Morgan estimates, Company data.

Table 2: MLCC industry end-system unit forecasts

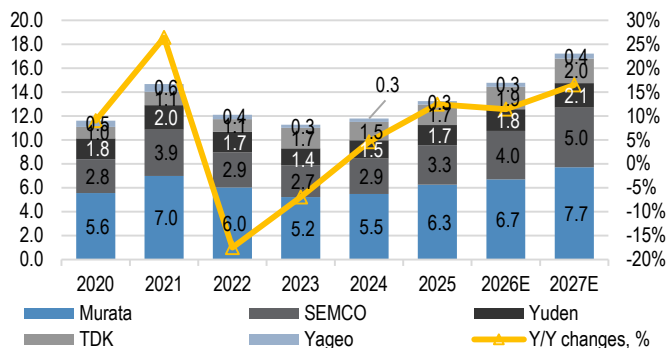
Units in mn

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
End demand															
Mobile	2,139	2,096	2,024	1,994	1,926	2,014	1,866	1,777	1,853	1,880	1,711	1,666	1,661	1,676	1,690
Smartphone	1,502	1,547	1,496	1,387	1,295	1,340	1,207	1,165	1,223	1,239	1,104	1,071	1,060	1,068	1,075
Low-end	623	605	602	573	513	454	381	417	479	458	370	353	350	352	355
Mid-end	502	566	516	541	443	502	453	386	375	388	364	353	350	352	355
High-end	377	376	378	354	339	384	373	362	369	392	370	364	361	363	366
Tablets	170	156	129	130	149	144	124	112	120	120	108	106	107	109	110
Featurephone	387	283	255	223	187	180	165	140	129	131	118	119	119	120	120
Others	80	110	145	255	295	350	370	360	380	390	380	370	375	380	385
PC/Server	301	297	297	300	329	362	304	259	266	285	258	260	276	281	286
Desktop	108	102	100	100	80	85	76	62	61	67	59	58	62	63	64
NBPC	162	160	160	162	196	221	189	163	168	182	163	163	173	174	176
Chromebook	9	13	15	16	33	35	19	17	18	18	16	17	18	19	21
Server	11.1	11.5	13.0	12.5	12.7	12.9	13.8	11.3	12.1	12.2	14.7	16.3	17.6	18.1	18.7
GP server	11.1	11.5	13.0	12.5	12.7	12.9	13.6	10.5	10.8	10.6	12.2	13.1	14.2	14.6	15.0
AI server	-	-	-	-	-	-	0.2	0.8	1.3	1.7	2.6	3.3	3.4	3.6	3.7
Others	10	10	10	9	8	7	6	6	6	6	6	6	6	6	7
Consumer	3,011	3,131	3,226	3,306	3,333	3,301	3,228	3,281	3,330	3,329	3,281	3,281	3,306	3,331	3,431
TV	222	215	221	223	224	214	204	202	205	204	203	205	205	205	205
Appliance	2,750	2,882	2,971	3,052	3,070	3,095	3,071	3,000	3,050	3,100	3,100	3,050	3,075	3,100	3,200
Others	39	33	33	31	29	28	27	26	26	26	26	26	26	26	26
Automotive	92	93	92	88	76	73	77	88	88	89	90	91	92	92	93
ICE	89	90	87	82	67	64	59	61	56	51	48	45	41	39	36
HEV	2	2	3	4	5	7	9	11	14	16	18	20	21	22	24
PHEV	0	0	1	1	1	2	3	4	7	8	9	9	10	11	12
EV	1	1	1	2	2	5	7	9	11	13	15	17	19	21	22
Industrial/Others	182	175	178	181	181	183	185	187	192	197	204	207	211	215	221

Source: J.P. Morgan estimates, Company data.

Figure 9: MLCC industry bottom-up revenue and YoY trend

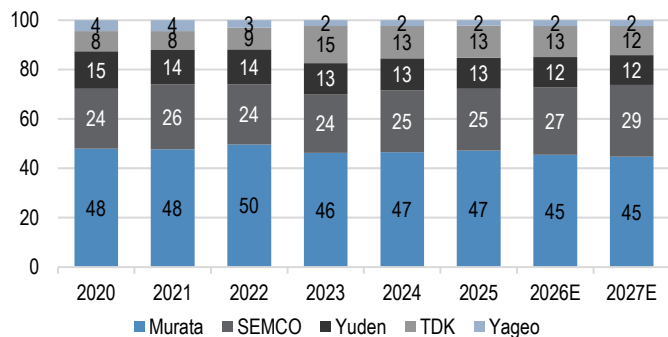
US\$bn



Source: J.P. Morgan estimates, Company data.

Figure 11: MLCC Industry Bottom-up Wallet Share Comparison (Value)

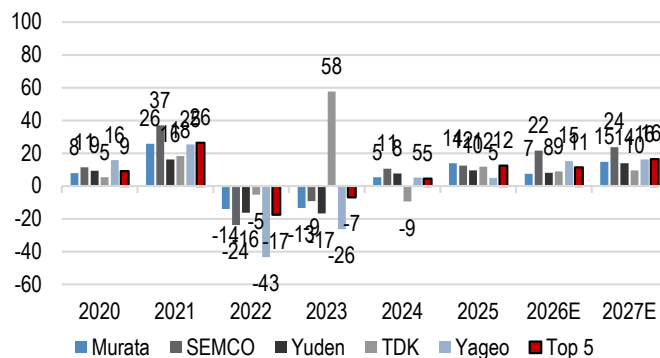
%



Source: J.P. Morgan estimates, Company data.

Figure 10: MLCC industry bottom-up revenue YoY comparison for individual players

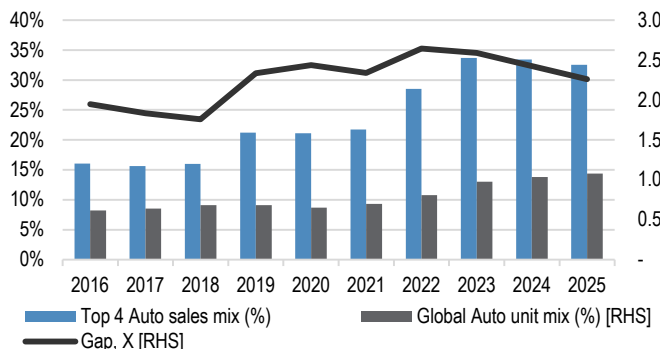
%



Source: J.P. Morgan estimates, Company data.

Figure 12: MLCC top 5 auto MLCC sales mix (%) and global auto MLCC unit sales mix (%) comparison

%, x



Source: J.P. Morgan estimates, Company data.

Table 3: Auto MLCC peer comparison analysis

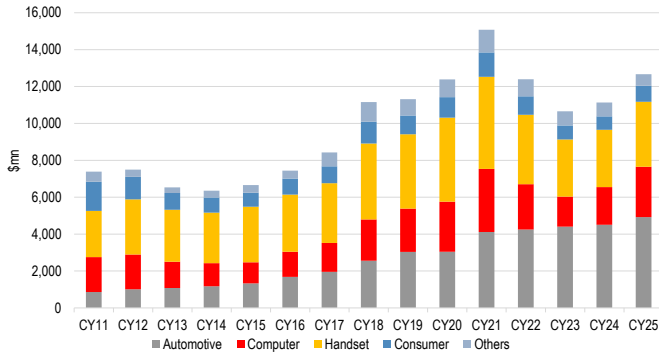
Revenue in US\$bn

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	25A vs. 22
Auto revenue											
Murata	0.8	0.9	1.3	1.4	1.5	2.0	2.1	2.0	2.1	2.1	0%
TDK	0.2	0.2	0.3	0.4	0.4	0.5	0.5	0.8	0.7	0.8	81%
Yuden	0.1	0.1	0.2	0.2	0.3	0.4	0.4	0.4	0.5	0.5	18%
SEMCO	0.0	0.0	0.1	0.2	0.2	0.3	0.5	0.5	0.7	0.9	91%
Sum total	1.1	1.3	1.9	2.3	2.4	3.2	3.5	3.8	3.9	4.3	25%
Auto mix, %											
Murata	24%	23%	25%	28%	27%	28%	35%	38%	37%	34%	-1%
TDK	32%	31%	34%	42%	45%	43%	42%	48%	48%	48%	6%
Yuden	8%	11%	13%	13%	17%	20%	26%	31%	31%	31%	5%
SEMCO	1%	1%	5%	9%	8%	8%	16%	21%	23%	26%	11%
Sum total	16%	16%	16%	21%	21%	22%	29%	34%	33%	33%	4%
Auto y-y											
Murata		13%	41%	15%	4%	33%	6%	-5%	3%	2%	0%
TDK		9%	29%	21%	11%	14%	-7%	78%	-10%	12%	22%
Yuden		49%	55%	9%	41%	37%	6%	-1%	8%	11%	6%
SEMCO		87%	538%	60%	2%	36%	49%	20%	24%	29%	24%
Sum total		16%	49%	18%	8%	30%	8%	10%	4%	10%	8%
Auto share, %											
Murata	71%	69%	66%	64%	61%	62%	61%	53%	52%	49%	-12%
TDK	20%	19%	17%	17%	17%	15%	13%	21%	19%	19%	6%
Yuden	8%	10%	10%	9%	12%	13%	13%	11%	12%	12%	-1%
SEMCO	1%	2%	7%	10%	9%	10%	13%	14%	17%	20%	7%

Source: J.P. Morgan estimates, Company data. *note: above is only MLCC revenue specific to automotive applications

Demand trends by MLCC application

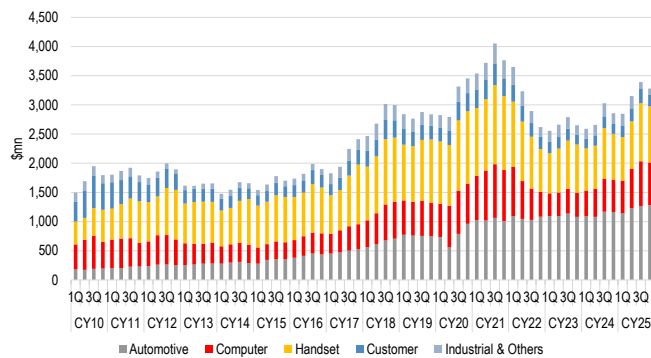
Figure 13: MLCC sales by application (annual)



Source: Company data, J.P. Morgan

Note: Company data covers Murata, TDK, Taiyo Yuden and SEMCO.

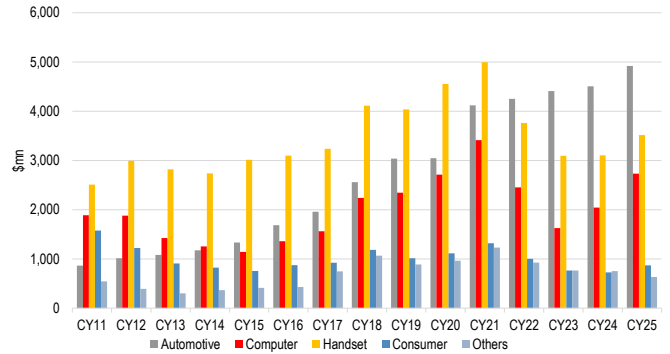
Figure 15: MLCC sales by application (quarterly)



Source: Company data, J.P. Morgan

Note: Company data covers Murata, TDK, Taiyo Yuden and SEMCO.

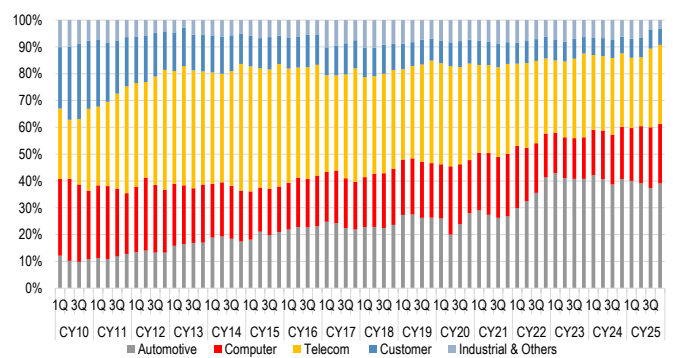
Figure 14: MLCC sales trend by application (annual)



Source: Company data, J.P. Morgan

Note: Company data covers Murata, TDK, Taiyo Yuden and SEMCO.

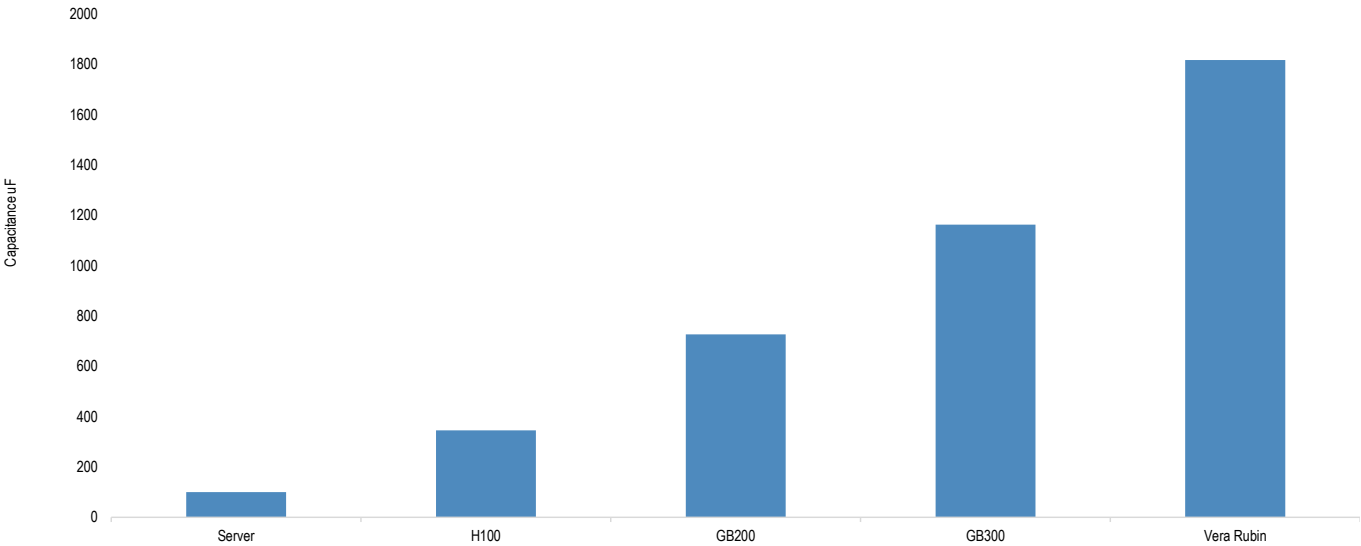
Figure 16: MLCC sales breakdown by application (quarterly)



Source: Company data, J.P. Morgan

Note: Company data covers Murata, TDK, Taiyo Yuden and SEMCO.

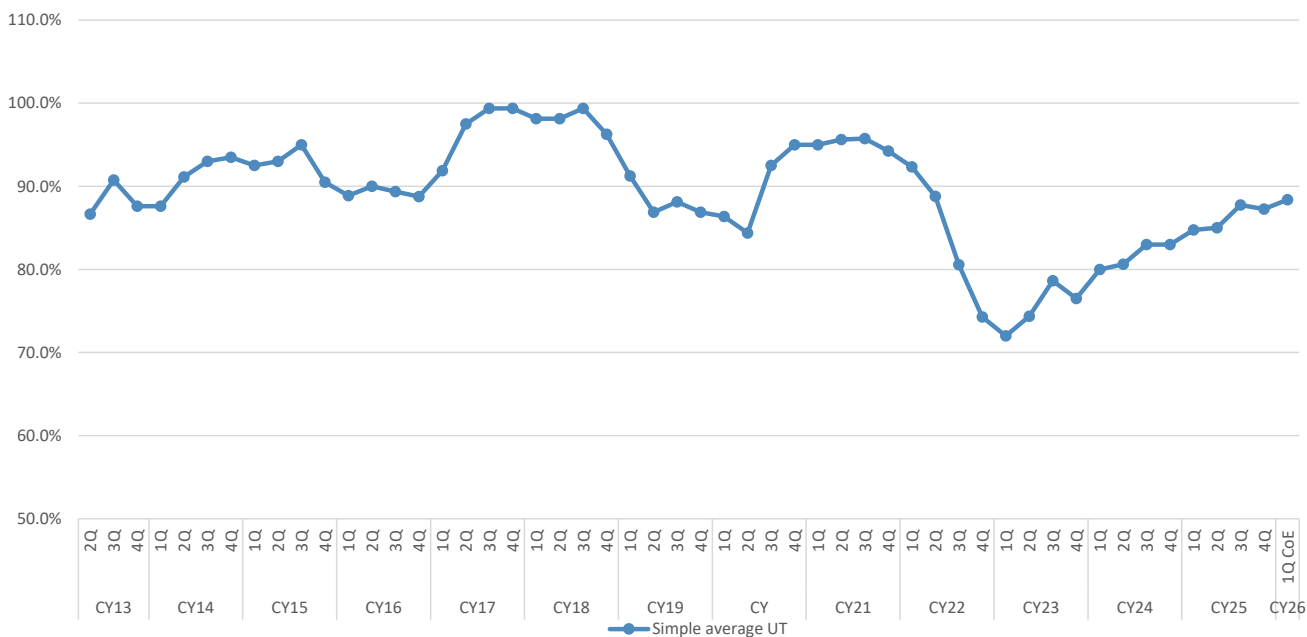
Figure 17: Internal MLCC capacity in AI servers



Source: J.P. Morgan estimates

MLCC capacity utilization and prices

Figure 18: MLCC capacity utilization (simple average)

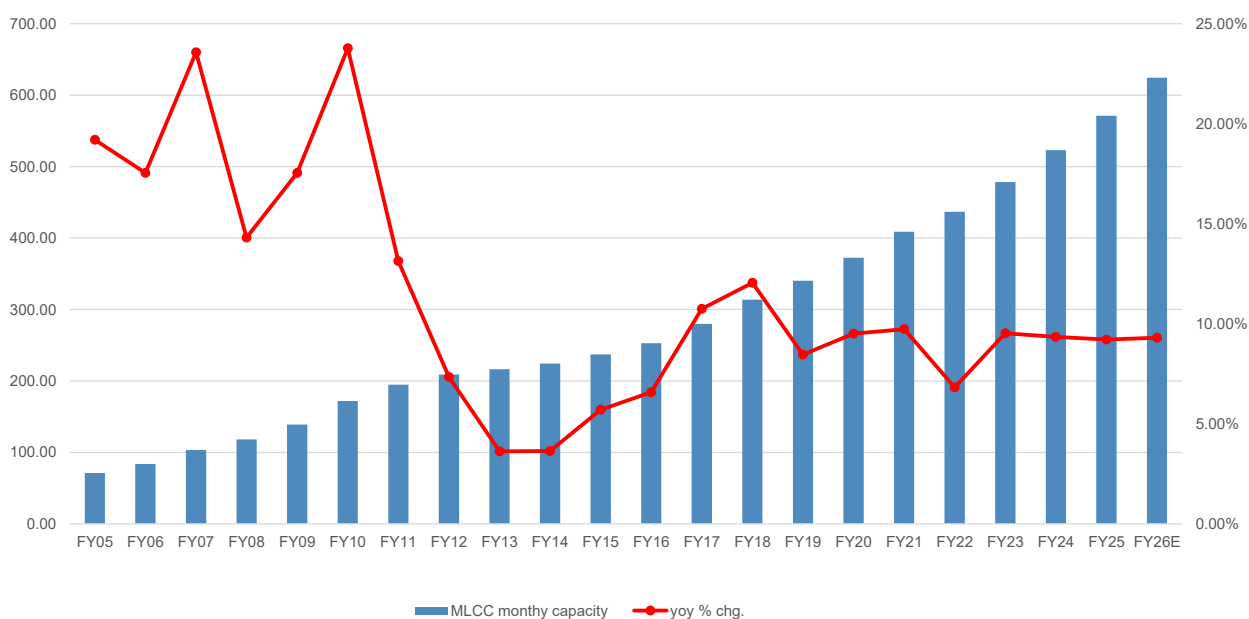


Source: Company materials, J.P. Morgan

Note: Capacity utilization data covers Murata, Taiyo Yuden, TDK, SEMCO and Yageo Group (general-purpose products).

Figure 19: MLCC production capacity (simple average)

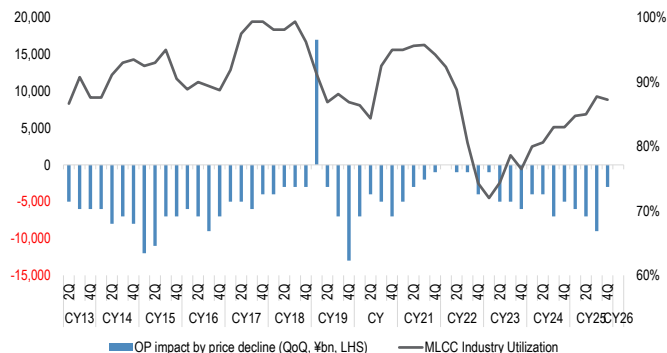
(bn units/month)



Source: Company materials, J.P. Morgan

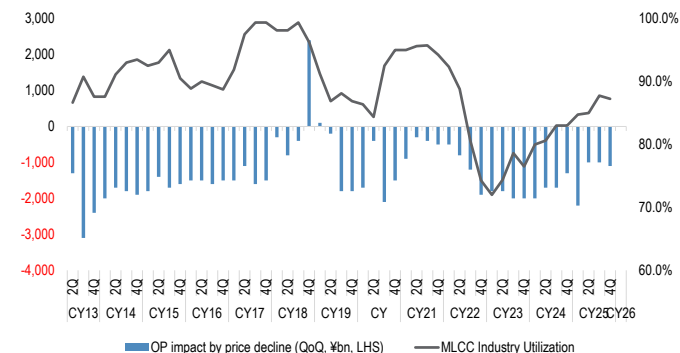
Note: Production capacity data covers Murata, Taiyo Yuden, TDK, SEMCO and Yageo Group (general-purpose products).

Figure 20: Murata Manufacturing: Price cut impact on QoQ operating profit growth, and MLCC industry's capacity utilization



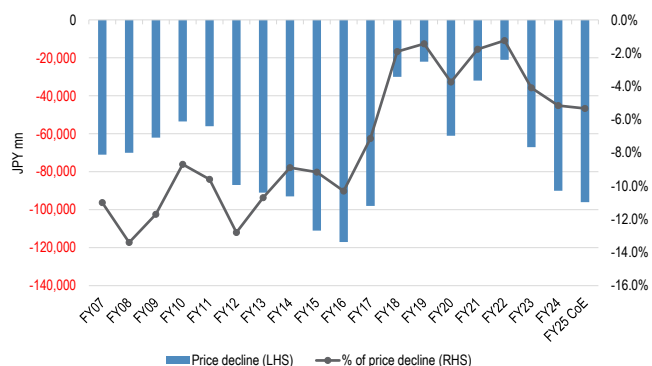
Source: Company materials, J.P. Morgan

Figure 21: Taiyo Yuden: Price cut impact on QoQ operating profit growth, and MLCC industry's capacity utilization



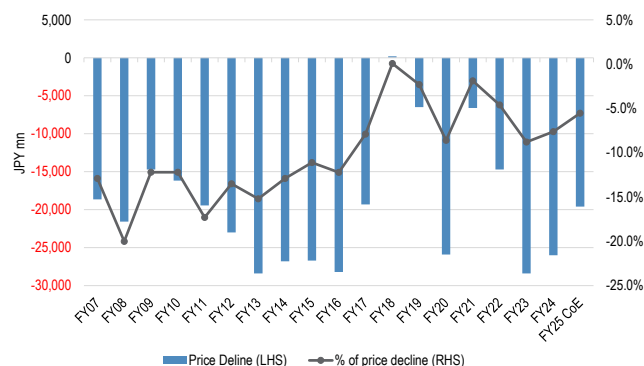
Source: Company materials, J.P. Morgan

Figure 22: Murata Manufacturing: Price cut impact on YoY operating profit growth, and price cutting rate (full-year)



Source: Company materials, J.P. Morgan

Figure 23: Taiyo Yuden: Price cut impact on YoY operating profit growth, and price cutting rate (full-year)



Source: Company materials, J.P. Morgan

MLCC Companies valuation comp

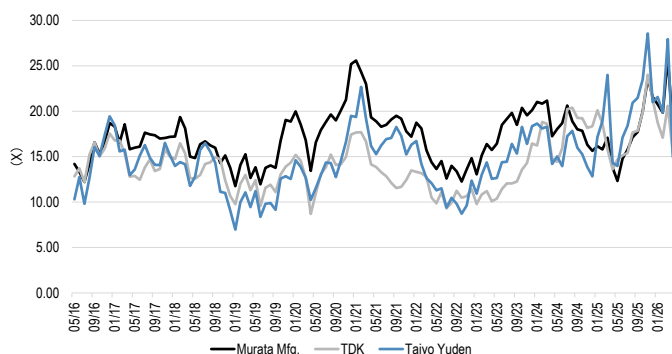
Figure 24: MLCC Valuation Comp

Ticker	Company	Share Price (LC)	Price Target (LC)	Return	JPM Rating	Market Capitalization (LC)	P/E FY25E	P/E FY26E	P/E Consensus(BBG) FY25E	P/E Consensus(BBG) FY26E	EV/EBITDA FY25E	EV/EBITDA FY26E	P/B FY25E	P/B FY26E	ROE FY25E	ROE FY26E	Price YTD
6981	Murata Mfg.	3,478	4,800	38.0%	OW	(JPY mn) 6,827,320	29.61	21.38	28.59	21.55	14.01	11.09	2.45	2.29	8.28%	11.06%	14.05%
6976	Taiyo Yuden	3,861	5,700	47.6%	OW	(JPY mn) 502,774	32.89	21.99	36.32	21.20	7.98	6.51	1.49	1.43	4.98%	7.25%	15.61%
6762	TDK	1,946	3,200	64.5%	OW	(JPY mn) 3,781,779	18.79	14.96	18.84	16.53	7.85	6.63	1.91	1.76	10.53%	12.26%	-5.40%
009150	KS Equity	411,000	550,000	33.8%	OW	(KRW mn) 30,699,109	28.09	20.55	28.09	20.55	16.37	16.37	3.06	2.71	11.22%	13.46%	73.19%
2327	TT Equity	246	364	48.0%	OW	(TWD mn) 509,950	15.30	12.55	15.30	12.55	14.29	14.29	2.51	2.17	17.74%	19.05%	8.87%
Simple Average		-	-	46.4%	-	42,320,932	24.93	18.28	25.43	18.47	12.10	10.98	2.28	2.07	10.55%	12.62%	21.27%
TWSE	TAIEX	32,572	NA	-	-	(TWD mn) 105,950,135	17.37	14.55	17.37	14.55	15.23	15.23	3.29	2.99	18.85%	20.65%	14.82%
TPX	TOPIX	3,612	NA	-	-	(JPY mn) 1,219,756,075	17.02	15.13	17.02	15.13	8.84	8.84	1.61	1.53	9.40%	10.04%	8.73%
KOSPI	KOSPI	5,234	NA	-	-	(KRW mn) 4,178,740,751	8.14	6.65	8.14	6.65	9.87	9.87	1.50	1.27	18.32%	18.75%	30.65%

Source: Company reports, Bloomberg Finance L.P. consensus estimates, and J.P. Morgan estimates.

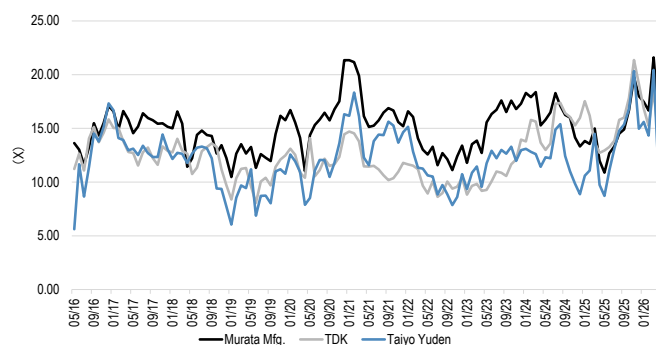
Note: Samsung Electro-Mechanics (SEMCO) is covered by Jay Kwon, and Yageo is covered by Jerry Tsai. Both SEMCO and Yageo are based on Bloomberg consensus. The three Japanese MLCC companies are based on J.P. Morgan estimates. The share prices and Bloomberg consensus are as of the market close on April 2, 2026.

Figure 25: 12-month forward consensus P/E for Murata, TDK, and Taiyo Yuden



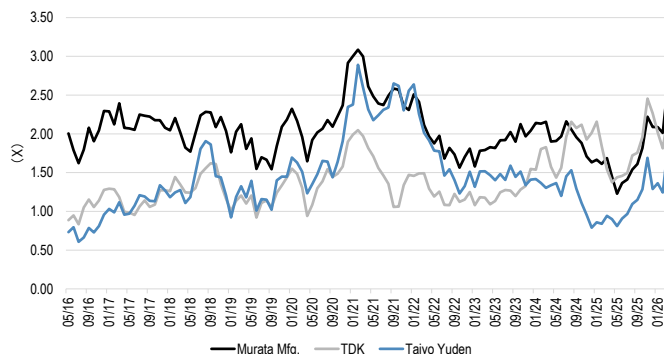
Source: Consensus estimates by Bloomberg Finance L.P.; J.P. Morgan Note: Share prices and consensus estimates as of March 30

Figure 27: 24-month forward consensus P/E for Murata, TDK, and Taiyo Yuden



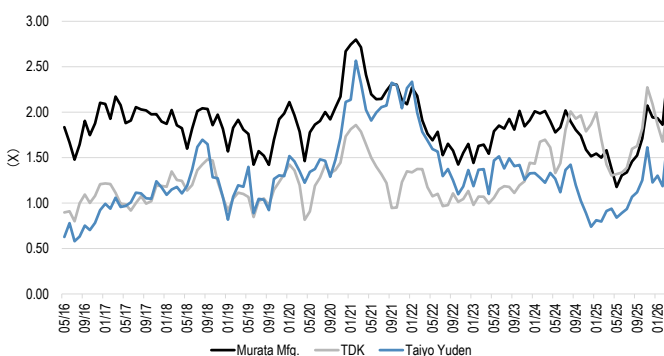
Source: Consensus estimates by Bloomberg Finance L.P.; J.P. Morgan Note: Share prices and consensus estimates as of March 30

Figure 26: 12-month forward consensus P/B for Murata, TDK, and Taiyo Yuden



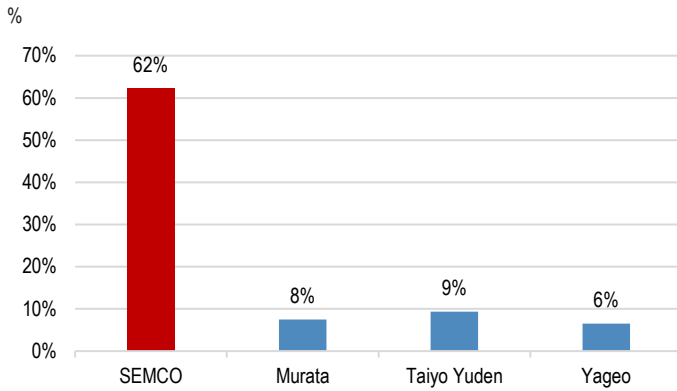
Source: Consensus estimates by Bloomberg Finance L.P.; J.P. Morgan Note: Share prices and consensus estimates as of March 30

Figure 28: 24-month forward consensus P/B for Murata, TDK, and Taiyo Yuden



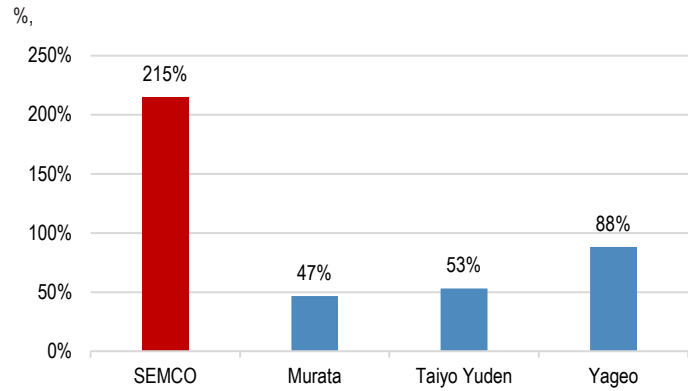
Source: Consensus estimates by Bloomberg Finance L.P.; J.P. Morgan Note: Share prices and consensus estimates as of March 30

Figure 29: Past 3M Price Performance – SEMCO vs. MLCC Peers



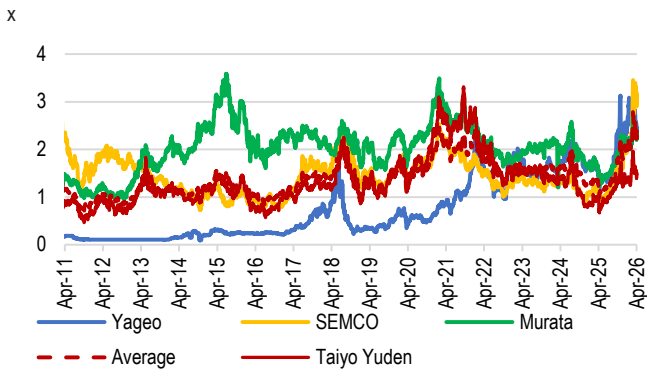
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Figure 30: Past 12M Price Performance – SEMCO vs. MLCC Peers



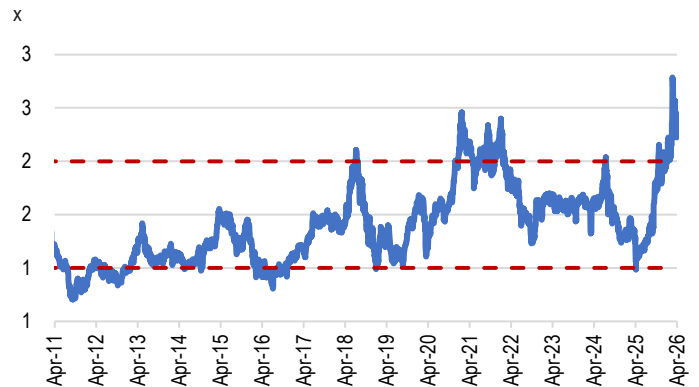
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Figure 31: FTM P/B for MLCC peers over the past 15 years



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Figure 32: Average FTM P/B for MLCC peers over the past 15 years



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Companies Discussed in This Report (all prices in this report as of market close on 02 April 2026, unless otherwise indicated)
Murata Manufacturing (6981)(6981.T/¥3,478/OW), Samsung Electro-Mechanics(009150.KS/W411,000/OW), TDK (6762)
(6762.T/¥1,946/OW), Taiyo Yuden (6976)(6976.T/¥3,861/OW)

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Murata Manufacturing (6981) (6981.T, 6981 JP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

Date	Rating	Price (Y)	Price Target (Y)
24-May-23	OW	2683	3,167
16-Aug-23	OW	2691	3,267
03-Oct-23	OW	2732	3,266.667
24-Jan-24	OW	3112	3,500
22-Jul-25	N	2165	2,200
14-Oct-25	N	2842	3,100
04-Dec-25	N	3315	3,500

Samsung Electro-Mechanics (009150.KS, 009150 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 11, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
27-Apr-23	OW	139100	185,000
20-Oct-23	OW	142900	180,000
13-Nov-23	OW	134400	170,000
01-Feb-24	OW	139600	165,000
04-Apr-24	OW	148000	185,000
04-Jul-24	OW	154900	195,000
02-Oct-24	OW	132500	175,000
29-Oct-24	OW	121200	165,000
25-Feb-25	OW	143700	175,000
29-Apr-25	OW	121300	155,000
03-Jul-25	OW	134500	165,000
08-Sep-25	OW	178200	230,000
29-Oct-25	OW	232500	275,000
21-Jan-26	OW	276500	325,000

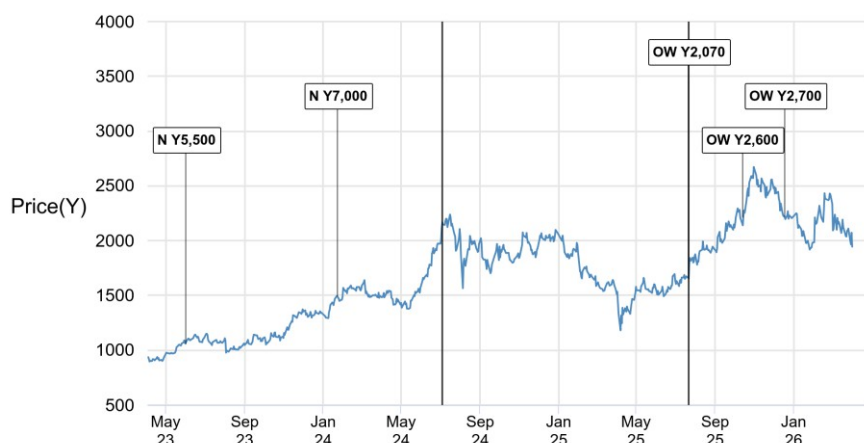
Taiyo Yuden (6976) (6976.T, 6976 JP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

Date	Rating	Price (Y)	Price Target (Y)
24-May-23	OW	4095	5,600
16-Aug-23	OW	4007	6,000
24-Jan-24	OW	3742	4,500
01-Apr-24	OW	3625	4,300
22-Jul-25	N	2628	2,500
14-Oct-25	N	3474	3,600
04-Dec-25	N	3699	3,700

TDK (6762) (6762.T, 6762 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
02-Jun-23	N	1060	5,500
24-Jan-24	N	1492	7,000
22-Jul-25	OW	1675	2,070
14-Oct-25	OW	2212	2,600
19-Dec-25	OW	2218	2,700

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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